intervention in the economy. As an example, from 1993 onward, in the US, federal officials were required to formally demonstrate the presence of market failure before planning interventions in the economy.

Redistribution as the subsidiary ground for coercion

Inevitably, all states engage in redistribution: in raising tax revenues and giving resources to some people at some times.

All states engage in disaster relief. After a natural disaster, the state expends resources in rescuing people and in post-disaster reconstruction. This is redistribution, as tax resources are being used to give resources to some people placed in certain states of nature.

All states also transfer resources to the poorest persons of the country. This reflects a mixture of altruism and self-interest. Helping poor people is a moral imperative, and in addition, everyone is better off when the poorest are protected from the extremities of poverty and hopelessness.

There is one important calculation in redistribution to address poverty. There are about 0.1 billion poor people in India, so when a government gives them Rs 100/day, this comes at a cost of Rs 3.65 trillion per year.

As with all government activities, there is a state capacity challenge in translating such objectives (disaster relief or a subsidy programme) into action. There is quite a management challenge in identifying the 0.1 billion poorest people, and accurately delivering Rs 100 to them every day.

Summing up

The first question in the field of public policy is: What should the state do? A great deal of good policy reform can be obtained by putting an end to certain government activities, and by initiating new areas of work that better fit into the tasks of government.